

MEMORANDUM

To: Representative Pat Ryan

From: Legislative Aide, Alexis Adkins

Date: April 15, 2026

Subject: Budget Recommendations

This memo's purpose is to inform you of three proposed federal budget reforms. These are reducing the size and cost of the federal workforce, reducing farm subsidies and agricultural programs, and means-testing Social Security benefits. Each of these proposals has been analyzed in terms of its policy design, the groups most affected, and the political implications for your district in New York's 18th Congressional District.

Reduce the Cost and Size of the Federal Workforce

Recap:

One approach to reducing federal spending is shrinking the federal workforce through attrition. According to the Congressional Budget Office (CBO), this policy would mean that federal agencies can only hire one employee for every two workers who leave. This would continue until the workforce is reduced by approximately 10 percent. However, certain agencies could be excused by the President in cases involving national security, emergencies, or critical missions ("Reduce the Size," 2018).

The CBO has made an estimation that this policy would reduce the federal deficit by around \$35 billion over a ten-year period, with savings increasing over time as fewer employees are hired

and payroll costs go down. This means that this reduction would include around 700,000 non-exempt workers, resulting in a total workforce reduction of about 70,000 employees (“Reduce the Size,” 2018).

Also, there is a related proposal that involves reducing annual pay increases for federal employees. Under this proposal, annual pay adjustments would be lower, which would lead to about a \$58 billion reduction in federal outlays over ten years (“Reduce the Annual,” 2018). This means that the salaries of federal employees would grow more slowly over time, resulting in a lower salary compared to what they would usually earn.

Most Affected Groups:

The most affected group is federal employees, who make up a workforce of over 2 million individuals across hundreds of agencies (“Workforce Size,” n.d.). Within this group, the most affected workers are likely to be those that are the most skilled and professional. This is because limiting their pay increases could make it more difficult for agencies to recruit and keep employees in these skilled positions (“Reduce the Annual,” 2018). This means that they are creating a risk of a declining workforce quality in crucial areas.

The second most affected group would be those who rely on federal services, such as veterans. This is because federal agencies, like the Department of Veteran Affairs, would face a decline in quality service and an increase in abuse and fraud within government programs (“Reduce the Size,” 2018). Also, we already know that in the first half of 2025, around 134,000 employees had quit or were fired from their positions (“Federal Agency,” 2026). Combined, this means that adding more reductions in the workforce would likely place additional pressure on already limited staffing levels, making it more difficult for agencies to effectively serve the public. As a

result, individuals who rely on these services could experience longer wait times, reduced access to care, and decreased overall program effectiveness.

Recommendations:

It is recommended that you do not support these reductions in the federal workforce through attrition. Although the proposal offers measurable deficit reduction, the potential consequences for workforce stability and public service delivery present significant risks to you.

As mentioned, this is recommended as the CBO has already acknowledged that reductions in staffing could weigh on the government's ability to handle its responsibilities, especially given that the federal workforce has not grown with the population it serves. This issue is significant to your political career as your district has more than 27,000 veterans who reside there, including yourself, with many depending on federal programs and services ("Congressional District 18," n.d.) ("About," n.d.). This means that any significant decline in quality, especially in agencies like the Department of Veteran Affairs, would cause dissatisfaction in a group that is highly respected by both you and the community. Their concerns could determine public opinion within the district and ultimately create risks to your reelection prospects.

Potential Compromise:

I believe that there are ways you could reject this proposal while still appeasing those who support the proposal. A significant way you could do this is by allowing attrition in less important roles. This would allow the government to reduce spending overtime without limiting essential services that individuals rely on. Also, this approach would show that you care about fiscal responsibility, which may please independent voters, while avoiding the risks associated with workforce cuts.

Reduce Farm Subsidies and Agricultural Programs

Recap:

Another major proposal for reducing the federal budget is cutting or eliminating farm subsidies and related agricultural programs. One version of this policy is outlined in “Eliminate Title I Agriculture Programs.” This describes how they would remove federal support for commodity program. Title I programs provide income and price support for major agricultural commodities such as corn, cotton, sugar, and dairy. If we were to eliminate these programs, it would reduce federal spending by an estimated \$20 billion over the 2019–2028 period (“Eliminate Title I Agriculture Programs,” 2018).

Another approach focuses on reducing support through Agricultural Risk Coverage (ARC) and Price Loss Coverage (PLC). These programs exist to provide payments when farm revenues or market prices fall below what is expected. ARC and PLC are important as they help producers of covered products, such as rice, wheat, and peanuts. This was made possible under the Agricultural Act of 2014. Under this option, the allowed payment would be reduced from 85 percent of base acres to 30 percent (“Limit ARC and PLC Payment Acres to 30 Percent of Base Acres,” n.d.). This would not be good as ARC and PLC was created to protect farmers during things like poor weather and a changing market, meaning that it would lower the financial stability of farmers.

Most Affected Groups:

The first group most affected by these reductions in farm subsidies would be commercial farms, which receive the largest amount of government payments. In the article “Commercial Farms Led in Government Payments in 2021,” it says “about 75 percent of commercial farms—those

with \$350,000 or more in gross cash farm income (GCFI), ...— received Government payments (Subedi et al., 2023). This was compared to only 31 percent for intermediate farms and 29 percent for residence farms. Also, commercial farms had received higher average payments, with an average of \$66,314 per farm (Subedi et al., 2023). This means that reductions in subsidy programs would greatly affect these large-scale agricultural producers.

Another group that would be affected by these reductions is the consumers. While farm programs like ARC and PLC were created to support producers, they also play a role in determining food prices. In some cases, subsidy programs can raise domestic prices above global market levels. For example, government support programs for sugar have increased domestic prices, creating a “hidden tax” on consumers (Smith, 2025).

Recommendations:

I would advise that you do not support the reduction of farm subsidies and agricultural programs. While these proposals would reduce federal spending, the evidence shows that they would also remove important financial protections that many farmers rely on.

In addition, this can affect the consumers and federal spending, particularly through sugar prices. When prices are raised, federal purchases are likely to become more frequent and more costly because world market prices may not rise at the same rate. This creates a need for producers to sell their goods to the government rather than the people. This will increase federal spending and contribute to higher domestic prices (Smith, 2025).

Potential Compromise:

Instead of reducing subsidies, a better approach would be to support reforms that improve how agricultural programs are structured rather than cutting them. An important way this could be

done is by providing supervision and assistance to make sure that funds are being used effectively. This would help as it would guarantee that federal funds are being distributed to farmers who genuinely need support, instead of being distributed among the largest operations. By improving supervision, policymakers can also prevent misuse of funds without removing the financial protections that stabilize farm income. Supporting this approach would allow for agricultural programs to continue supporting production and rural economies while addressing concerns about fairness and accountability.

Means-Test Social Security

Recap: The last of these approaches to reducing federal spending is to means-test Social Security benefits. A means-test is when they figure out if someone is able to receive financial assistance for a good or service, such as federal programs that compare your household's total income against the federal poverty line (Hayes, 2025). When applying this to Social Security, this would lead high-income households to have their benefits reduced while lower-income households have their benefits maintained.

A specific version of this proposal is outlined in "Reduce Social Security Benefits for High Earners." In this, it would reduce benefits for higher earners by changing the Social Security benefit formula, specifically by adding a bend point and lowering primary insurance amount (PIA) factors for individuals with higher lifetime earnings ("Reduce Social Security Benefits for High Earners," 2022).

There are three alternatives presented by CBO. The first is to reduce benefits only for the top 30 percent of earners and generate about \$40 billion in savings through 2032. This is the least aggressive alternative. Another would affect around half of new beneficiaries and generate \$109

billion in savings. This is a likely alternative as it balances significant deficit reduction with a phased-in approach while still protecting lower-income beneficiaries. The last alternative would generate \$184 billion in savings over the same period (“Reduce Social Security Benefits for High Earners,” n.d.) This is the most aggressive alternative.

Most Affected Groups:

The first group most affected by this proposal is future retirees with higher lifetime earnings. This is because this policy would only apply to new beneficiaries whose earnings exceed the new bend point. This is evident as under the second alternative of the proposal as about 50 percent of new beneficiaries would receive reduced benefits by 2032, with an average reduction of 20 percent. Also, lower-income beneficiaries would not experience any reduction, which means that the policy is directly targeted at higher earners (“Reduce Social Security Benefits for High Earners,” n.d.).

The second most affected group is those who rely on Social Security to retire. While the policy is designed to target higher earners, it also creates concerns that benefit reductions could extend to individuals who are not directly affected but are financially dependent on the program. This is because Social Security serves as a foundational source of retirement, disability, and survivor income, and nearly 97 percent of older adults either receive or will receive benefits. This means that for a lot of middle-income individuals, Social Security is their only protected form of income (“Top Ten Facts,” 2024).

Recommendations:

It is recommended that you should not support the most aggressive or even the likely alternative for means-testing Social Security, as both options pose significant political risks for his district. While the likely alternative offers meaningful deficit reduction, it would still leave an impact on a large portion of future retirees. The most aggressive alternative would reduce benefits more quickly and for a larger group, increasing the likelihood of backlash from voters (“Reduce Social Security Benefits for High Earners,” n.d.).

This is important as your district has about 791,202 people, including over 141,000 residents that are 65 and older. Also, there are more than 620,000 adults, which means that many people either receive Social Security now or expect to in the future (“My Congressional District,” n.d.). This means that even if benefit cuts are directed at higher earners, many voters of middle- and upper-income status will be affected. This is likely as this district has a median household income is about \$94,063 “Patrick Ryan: Midterms 2026,” n.d.).

Potential Compromise:

From the options, it would be best if you supported the least aggressive alternative, which reduces benefits only for the top 30 percent of earners and generates approximately \$40 billion in savings through 2032 (“Reduce Social Security Benefits for High Earners,” n.d.). This approach allows for limited deficit reduction while limiting the number of affected constituents.

This compromise aligns best with the district’s demographics because it is only targeting the highest earners. This means that you can argue that you are protecting the majority of you residents, including the large senior population and middle-income residents, while still supporting responsible fiscal policy. Since the least aggressive option phases in changes over

time and affects a smaller portion of beneficiaries, it is less likely to generate widespread opposition compared to the other alternatives.

Conclusion

Overall, while each of these proposals offers opportunities to reduce federal spending, they also carry a heavy risk for your reelection potential. Each of these proposals will directly affect important demographics within your district, including federal employees, veterans, farmers, and seniors, all of which are likely to respond strongly if these policies are implemented. This is crucial as targeted changes may be viewed poorly by residents and create concern among voters who rely on these programs.

For this reason, it is important to approach these proposals carefully. Supporting cuts that seem too aggressive could lead to dissatisfaction among large and active voting groups, while completely opposing reform may raise concerns about fiscal responsibility. The most effective strategy is to support targeted, balanced reforms and to offer alternatives that reduce spending while protecting essential services and vulnerable populations.

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